

ECON 0100 | Vignette C4 | Corrective Taxes

Due in Recitation. Vignettes are a certificate of the work done together in Recitation.

Residents of Hogsmeade enjoy pumpkin pasties year round. The Demand (marginal benefit) curve and Supply (marginal cost) curve for pumpkin pasties can be represented using the following relationships.

$$D : P_b = 100 - Q_b$$

$$S : P_s = 10 + Q_s$$

However, a recent report conducted by the Daily Profit conclusively established a link between the consumption of pumpkin pasties and accidental magical spells, with a cost to society of 10 galleons.

Q1 | Policy Proposal

What type and size of policy would you propose to eliminate the DWL you identified in Vignette C3?

a) Policy Type: _____ Policy Size: _____

b) Buyer Price: _____ Seller Price: _____ Post-Policy Quantity: _____

Q2 | Deadweight Loss Intuition

If the marginal cost of a gallon of gas is \$4.00, the negative externality is \$1.00, and the marginal benefit is \$4.50, what is the deadweight loss of this gallon of gas?

a) Deadweight Loss: _____